

DRIVERS OF FINANCIAL MARKET INEFFICIENCY

What drives financial market inefficiency? Investors, being human, sometimes buy or sell for emotionally charged reasons, such as exuberance or panic. They periodically alter their decision-making, not in response to investment fundamentals, but to recent performance that significantly expanded or shrank their own net worth. They might not want to miss out on a trend their peers have been profiting from. They can be lulled into complacency and even risk-seeking behavior by the momentum of the market. They might find it hard to maintain a contrarian view that has, so far, been costly. They might also overreact to surprises, particularly a quarterly earnings shortfall or an unexpected credit-rating downgrade. They may be overwhelmed by the analytical challenges involved with rapid corporate change, complexity, or heightened uncertainty. Investors always need to fight the tendencies to warm to investments whose price has been rising and bail on those whose price has been falling.

Security prices deviate from fundamental value for myriad other reasons as well. One is that investors may well have very different visions of reality; some are inveterate optimists while others are pessimists. Some become cheerleaders for their holdings, falling in love with their hypotheses. Investors' time horizons also differ, as do their expectations for the future. A university endowment or philanthropic foundation may be able to take a truly long-term perspective, but a couple nearing retirement age and expecting to soon begin living on their nest egg cannot. Individual risk tolerances also vary, both for interim price fluctuations but also, more important, for the prospect of a permanent loss of capital. Income needs from a portfolio differ as well, and some investors may be forced to exit a stock that omits its dividend or a bond that defaults, regardless of price.

In addition to all of these reasons for market inefficiency, people will always be subject to their own behavioral biases, as Daniel